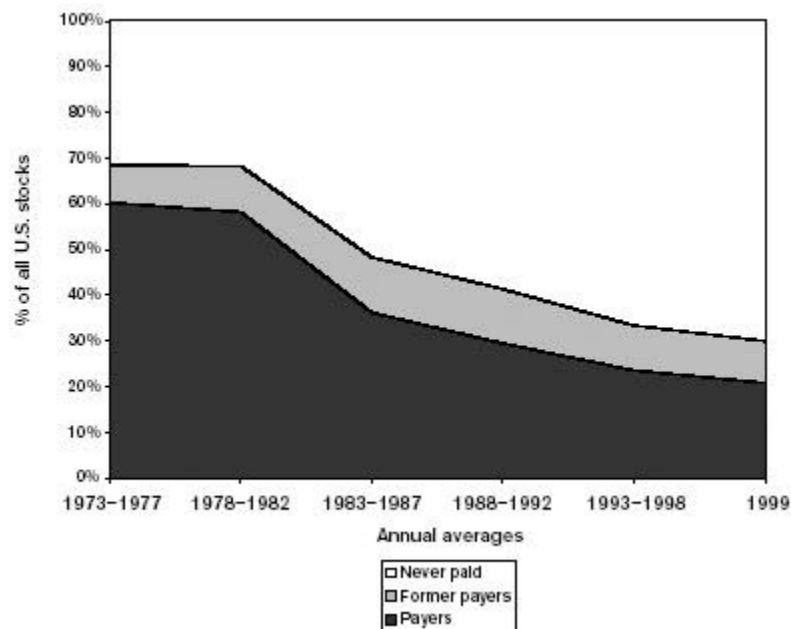


In the late 1990s and into the early 2000s, the managements of leading technology companies took this “Daddy-Knows-Best” attitude to new extremes. The argument went like this: Why should you demand a dividend when we can invest that cash for you and turn it into a rising share price? Just look at the way our stock has been going up—doesn’t that prove that we can turn your pennies into dollars better than you can?

Incredibly, investors fell for it hook, line, and sinker. Daddy Knows Best became such gospel that, by 1999, only 3.7% of the companies that first sold their stock to the public that year paid a dividend—down from an average of 72.1% of all IPOs in the 1960s.⁹ Just look at how the percentage of companies paying dividends (shown in the dark area) has withered away:

FIGURE 19-1

Who Pays Dividends?



Source: Eugene Fama and Kenneth French, “Disappearing Dividends,” *Journal of Financial Economics*, April 2001.